account statement issued by the IMO GFI Registry in accordance with regulation 38 of this Annex.

6 A ship shall balance its Tier 2 compliance deficit through one or more of the following GFI compliance approaches, as recorded on the ship account statement issued by the IMO GFI Registry in accordance with regulation 38 .5 of this Annex, taking into account the guidelines to be developed by the Organization:85

.1 surplus units transferred from other ships;

.2 surplus units banked from previous reporting periods; and/or

.3 remedial units acquired by means of GHG emissions pricing contributions to the IMO Net-Zero Fund priced at Tier 2 benchmark rates in accordance with paragraph 9 of this regulation.

7 A ship that has fully balanced its compliance deficit in accordance with paragraphs 5 and 6 of this regulation, as applicable, shall be considered as being compliant with its target annual GFI, without prejudice to the ship to recover any costs incurred in the application of this

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SOURCE: MEPC.403(83).pdf
and 6 of this regulation, as applicable, shall be considered as being compliant with its target annual GFI, without prejudice to the ship to recover any costs incurred in the application of this regulation that relate to the operational responsibility of the ship. For the purpose of this regulation, operational responsibility of the ship means determining the fuel used or the cargo carried or the route or the speed of the ship.

Remedial units

8 For the reporting periods 2028 to 2030, the initial price of a Tier 1 remedial unit shall be US$100 per tonne of CO2eq on a well-to-wake basis.

9 For the reporting periods 2028 to 2030, the initial price of a Tier 2 remedial unit shall be US$380 per tonne of CO2eq on a well-to-wake basis.

85 Refer to guidelines to be developed by the Organization.

10 By 1 January 2028, the Committee shall determine the mechanism for reviewing and

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SOURCE: MEPC.403(83).pdf
OF THE ENERGY EFFICIENCY DESIGN INDEX (EEDI)MEPC 83/17/Add.1
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10 By 1 January 2028, the Committee shall determine the mechanism for reviewing and defining the price of a Tier 1 and Tier 2 remedial unit for the reporting periods starting 2031 and onwards.

Surplus units

11 The amount of surplus units a ship in direct compliance is eligible to receive shall be equal to its positive compliance balance, expressed in tonnes of CO 2eq, taking into account guidelines to be developed by the Organization.86

12 A surplus unit, subject to paragraphs 6 and 15 of this regulation, credited to the ship account in the IMO GFI Registry may be used once for one of the following purposes as shall be recorded in the IMO GFI Registry, taking into account guidelines to be developed by the Organization:87

.1 transfer to another ship to balance that ship's Tier 2 compliance deficit;

.2 banked for use in the following reporting periods; or

.3 voluntarily cancelled as a mitigation contribution.

13 A surplus unit shall only be transferred or cancelled once, but different surplus units

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SOURCE: MEPC.403(83).pdf
.2 banked for use in the following reporting periods; or

.3 voluntarily cancelled as a mitigation contribution.

13 A surplus unit shall only be transferred or cancelled once, but different surplus units
of a ship can be used for the different purposes provided for in paragraph 12 of this regulation.

14 An unassigned surplus unit shall be automatically banked.

15 A surplus unit shall have a validity of two calendar years after the calendar year of its issuance from the IMO GFI Registry. A surplus unit not used by the ship in whose account it is credited by its expiry date shall be cancelled as a mitigation contribution.

Regulation 37
Reporting and verification of the annual GFI

1 Within three months after the end of calendar year 2028 and by 31 March after each reporting period thereafter, the ship shall report to its Administration, or any organization duly authorized by it, 88 the attained annual GFI, the target annual GFI and the GFI compliance balance of the ship for that reporting period, respectively calculated in accordance with regulations 33, 35 and 36 of this Annex, together with the data collected as specified in

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balance of the ship for that reporting period, respectively calculated in accordance with regulations 33, 35 and 36 of this Annex, together with the data collected as specified in

appendix XII of this Annex via electronic communication and using the standardized format developed by the Organization89 for the purpose of verifying the compliance of each ship with this chapter, taking into account guidelines to be developed by the Organization.90

2 In the event of any transfer of a ship from one Administration to another and/or a change from one company to another completed after 1 January 2028, a ship shall, after the end of the calendar year in which the transfer and/or change takes place, comply w ith paragraph 1 of this regulation for the 12-month period from 1 January to 31 December of the calendar year during which the transfer and/or change took place.

86 Refer to guidelines to be developed by the Organization.

87 Refer to guidelines to be developed by the Organization.

88 Refer to the Code for Recognized Organizations (RO Code) (resolutions MSC.349(92) and MEPC.237(65)).

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SOURCE: MEPC.403(83).pdf
86 Refer to guidelines to be developed by the Organization.

87 Refer to guidelines to be developed by the Organization.

88 Refer to the Code for Recognized Organizations (RO Code) (resolutions MSC.349(92) and MEPC.237(65)).

89 Refer to the 2022 Guidelines for the development of a ship energy efficiency management plan (SEEMP) (resolution MEPC.346(78), as amended by resolution MEPC.388(81).

90 Refer to guidelines to be developed by the Organization.

3 Within six months after the end of 2028 and by 30 June after each following reporting period, the Administration, or any organization duly authorized by it,91 shall verify the reported data pursuant paragraph 1 of this regulation and report the verified data to the IMO GFI Registry, taking into account the guidelines to be developed by the Organization.92

4 Within one month after the ship 's verified data has been reported to the IMO GFI

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Registry, taking into account the guidelines to be developed by the Organization.92

4 Within one month after the ship 's verified data has been reported to the IMO GFI Registry pursuant to paragraph 3 of this regulation or on the 31 July at the latest, the ship shall determine and record in the IMO GFI Registry its selected GFI compliance approach(es) in accordance with regulation 36 of this Annex.

5 By 31 August after each reporting period, the IMO GFI Registry shall issue, for each

ship account and reporting period, a ship account statement reflecting the transactions recorded in accordance with regulation 38 .4. The ship account statement shall be made available to the ship, its Administration, or any organization duly authorized by it,93 taking into account guidelines to be developed by the Organization.94

6 By 30 September after each reporting period, the Administration, or any organization duly authorized by it, 95 shall on the basis of the reported data and selected GFI compliance approach(es) as recorded on the ship account statement in the IMO GFI Registry, issue a

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duly authorized by it, 95 shall on the basis of the reported data and selected GFI compliance approach(es) as recorded on the ship account statement in the IMO GFI Registry, issue a Statement of Compliance related to the annual GFI in accordance with regulation 6 .9 of this Annex. The Administration, or any organization duly authorized by it, 96 shall report that Statement of Compliance in the IMO GFI Registry ship account by 31 October after each reporting period.

7 In the event of a transfer of a ship from one Administration to another and/or a change from one company to another as referred to in paragraph 2 of this regulation, the ship shall, on the day of completion of the transfer and/or change or as close as practical thereto report the data specified in regulation 33 .1 of this Annex for the portion of the calendar year